

complaint

Ms N and Mr S complain about U K Insurance Limited's settlement of a car insurance claim.

background

Ms N and Mr S's car was damaged in an accident. It was held in a police car pound for several days before being collected by UKI's car recovery agent. The car was then stored with the agent where it was decided the cost of repairs were more than the car was worth. UKI wrote the car off and offered an amount of money to Ms N and Mr S, which they didn't think was enough. In the end they told UKI that they wanted to keep their car and so UKI returned it to them but deducted a fee from the settlement. And because Ms N and Mr S weren't happy with the car when they saw further damage to it, they complained.

In an attempt to resolve the complaint, and after an adjudicator had looked at all the information, UKI offered £2,600 for the car with a fee for Ms N and Mr S keeping it of 9%.

Ms N and Mr S don't think this is fair. They say further damage was caused to the car by UKI's agent and they weren't told about this. They think that UKI should pay them the cost of what it would take to repair the damage as this wasn't part of their claim. UKI say there's no evidence that shows the agent caused the damage. Ms N and Mr S say the fact that the damage is to the roof, and the car was taken away on a multi-level transporter it's likely the car wasn't secured properly. And in these circumstances the roof probably came into contact with the transporter's framework. The other possibility was that the damage was caused by a forklift truck.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I need to decide whether UKI's agent damaged Ms N and Mr S's car. Mr S's main concern is the roof damage although he suggests there's other damage too. I've seen photographs of the car and all the damage to it. There are lots of small areas of scratches and dents but I haven't seen anything that makes me think UKI's agent caused it.

There's no eye witness information to say the agent caused the roof damage. Mr S has pointed out that the agent uses forklifts to move vehicles around and the roof damage is consistent with the prongs of a forklift. I accept this is possible but I also take into account that UKI say their agent said they didn't do it. It's a case of one word against another. Given the general state of damage to Ms N and Mr S's car the roof damage isn't out of place. But I'd expect the prongs of a fork lift truck to have caused wider areas of damage given their width. So whilst I think Mr S's explanation is a possibility he hasn't persuaded me that it's most likely a forklift caused the damaged.

And I've taken into account Mr S's alternative view that the car wasn't secured properly when transported. But there's nothing substantial to back this up – it's really just an assumption without evidence.

Having looked at the industry trade guides UKI's offer of £2,600 is at the lower end (CAP £2,500 Glass's £3,030) but given the general condition of the car I think it's a reasonable

offer. And UKI's 9% fee for letting Ms N and Mr S keep the vehicle is a reasonable amount – UKI basis this on the scrap value it would get for the car in its condition.

my final decision

My final decision is that I uphold this complaint in so far as U K Insurance Limited must pay Ms N and Mr S a settlement of £2,600 less the £600 excess and less the 9% retention fee.

Under the rules of the Financial Ombudsman Service, I am required to ask Ms N and Mr S to accept or reject my decision before 8 July 2015.

Sean Hamilton
ombudsman